

# **Meridian Robotics Inc. — Form 10-Q**

Quarterly Report for the Period Ended September 30, 2025

## **Item 2. Management's Discussion and Analysis**

Total revenue for the third quarter of fiscal 2025 was \$412.6 million, an increase of fourteen percent compared to \$362.1 million in the prior-year quarter. The increase was primarily driven by higher unit shipments of our warehouse automation robots and expanded service contract renewals.

Gross margin improved to 41.2 percent, up from 38.7 percent in the prior-year period, reflecting lower input costs for servo motors and improved manufacturing yield at our Ohio facility.

Operating expenses increased to \$98.3 million, up from \$87.5 million, driven by continued investment in our research and development organization, which grew headcount by twelve percent during the quarter.

## **Item 1A. Risk Factors**

Our business depends on a small number of key suppliers for precision actuators. A prolonged disruption at any single supplier could materially impact our ability to fulfill customer orders on schedule.

We face increasing competition from both established industrial automation companies and well-funded startups, some of which have introduced lower-priced alternatives to our flagship warehouse robot platform.

Approximately thirty-one percent of our revenue in the quarter was derived from customers outside the United States, exposing us to foreign currency exchange rate fluctuations, particularly with respect to the Euro and Japanese Yen.

## **Liquidity and Capital Resources**

As of September 30, 2025, we had cash and cash equivalents of \$215.4 million and no outstanding borrowings under our revolving credit facility. We believe our existing cash balance, together with cash generated from operations, will be sufficient to fund operations for at least the next twelve months.

During the quarter, we repurchased 1.2 million shares of common stock for approximately \$54 million under our existing share repurchase authorization.